

UNIT II (2.1) – RESIDENTIAL STATUS AND INCIDENCE OF TAX

Answer Key

PART - A (2 Marks)

Q1. What is Residential Status?

Residential status is the status of a taxpayer determined under Section 6 of the Income Tax Act, 1961, for every previous year, to decide the scope of his total income chargeable to tax in India. It depends on the number of days a person stays in India during the previous year (and preceding years) and is unrelated to citizenship — a person's residence can change from year to year, but citizenship cannot.

Q2. Who is a resident?

An individual is treated as a "resident" in India for a previous year if he satisfies at least one of the two basic conditions laid down under Section 6(1): (a) he stays in India for a period of 182 days or more during the relevant previous year, or (b) he stays in India for 60 days or more during the relevant previous year and for 365 days or more during the four years immediately preceding that previous year.

Q4. Who is a not ordinarily resident?

An individual who satisfies at least one of the basic conditions of Section 6(1) (and is therefore a "resident") but fails to satisfy both of the additional conditions under Section 6(6)(a) — i.e., he has not been resident in India in at least 2 out of the 10 previous years immediately preceding the relevant previous year, or has not stayed in India for 730 days or more during the 7 years immediately preceding it — is called a "Resident but Not Ordinarily Resident" (RNOR).

Q5. Who is a non resident?

An individual who fails to satisfy either of the two basic conditions under Section 6(1) — that is, he stays in India for less than 182 days in the previous year, and for less than 60 days in the previous year combined with less than 365 days in the preceding four years — is treated as a "Non-Resident" (NR) for that previous year.

Q8. What are two basic conditions?

- (a) The individual is in India for a period (or periods) totalling at least 182 days during the relevant previous year; OR
- (b) The individual is in India for a period (or periods) totalling at least 60 days during the relevant previous year, and for a period (or periods) totalling at least 365 days during the 4 years immediately preceding that previous year.

Satisfying either one of these makes the individual a "resident" for that year.

Q9. What are two Additional condition?

- (1) The individual has been resident in India in at least 2 out of the 10 previous years immediately preceding the relevant previous year; AND
- (2) The individual has been in India for 730 days or more during the 7 years immediately preceding the relevant previous year.

A resident who satisfies both additional conditions is "Resident and Ordinarily Resident"; if he fails even one, he is "Resident but Not Ordinarily Resident".

PART - B (5 Marks)

Q2. How will your ascertain residential status of an individual assessee?

The residential status of an individual is determined for every previous year separately, in the following steps:

Step 1 – Basic Conditions [Sec. 6(1)]: The individual is a resident if he satisfies at least one of the following:

- (a) Stay in India of 182 days or more during the relevant previous year; OR
- (b) Stay in India of 60 days or more during the relevant previous year AND 365 days or more during the 4 years immediately preceding it.

If neither condition is met, the individual is a Non-Resident.

Step 2 – Exceptions to the 60-day rule in condition (b): The 60 days is extended to 182 days for:

- An Indian citizen who leaves India during the previous year for employment purposes (approved by the Central Government) or as a crew member of an Indian ship; or
- An Indian citizen, or a person of Indian origin settled abroad, who comes on a visit to India during the previous year (subject to the additional Rs. 15 lakh income and 120-day conditions for high-income individuals).

Step 3 – Additional Conditions [Sec. 6(6)(a)] (applied only if the individual is a resident under Step 1): He must satisfy both of the following to be "Ordinarily Resident":

- (1) Resident in India in at least 2 of the 10 previous years immediately preceding the relevant previous year; and
- (2) Stay in India of 730 days or more during the 7 years immediately preceding the relevant previous year.

If both are satisfied → Resident and Ordinarily Resident (ROR). If one or both are not satisfied → Resident but Not Ordinarily Resident (RNOR).

Q4. Mr. Rajan left for Singapore on 15-03-2023 after staying in India for 15 years. He returned to India on 31-08-2025. What will be his residential status for the assessment year 2026-2027?

AY 2026-27 corresponds to Previous Year 2025-26 (1 April 2025 to 31 March 2026).

Number of days Mr. Rajan stayed in India during PY 2025-26 (31-08-2025 to 31-03-2026):

- August (31 Aug only): 1 day
- September: 30 days
- October: 31 days
- November: 30 days
- December: 31 days
- January: 31 days
- February: 28 days
- March: 31 days

Total stay in India during PY 2025-26 = 213 days.

Since 213 days exceeds 182 days, Mr. Rajan satisfies basic condition (a) of Section 6(1) and is a Resident for PY 2025-26.

Additional Conditions: He had stayed in India continuously for 15 years before leaving in March 2023. He is therefore resident in at least 2 of the preceding 10 years, and his stay in the preceding 7 years far exceeds 730 days. Both additional conditions are satisfied.

Conclusion: Mr. Rajan is a Resident and Ordinarily Resident (ROR) in India for the Assessment Year 2026-27.

PART - C (10 Marks)

Q1. Explain the term a) Resident ordinarily resident b) resident not ordinarily resident c) non resident

a) Resident and Ordinarily Resident (ROR):

Under Section 6(1) read with Section 6(6)(a), an individual is a Resident and Ordinarily Resident if he satisfies at least one basic condition of Section 6(1) — stay of 182 days or more in the previous year, or 60 days or more in the previous year together with 365 days or more in the preceding 4 years — AND both additional conditions of Section

6(6)(a): resident in India in at least 2 of the preceding 10 years, and a stay of 730 days or more during the preceding 7 years. A ROR is taxed in India on his entire global income, irrespective of where it is earned or received.

b) Resident but Not Ordinarily Resident (RNOR):

An individual who satisfies at least one basic condition of Section 6(1) but fails to satisfy both additional conditions of Section 6(6)(a) (i.e., he fails at least one of them) is a Resident but Not Ordinarily Resident. His scope of taxable income is narrower than a ROR's — broadly, income received or accruing in India, and income from a business controlled from or a profession set up in India, even if earned abroad, is taxable; other foreign income is not taxable in India.

c) Non-Resident (NR):

An individual who fails to satisfy either basic condition under Section 6(1) is a Non-Resident. Only income that is received in India, deemed to be received in India, or that accrues/arises (or is deemed to accrue/arise) in India is taxable in his hands; foreign income, even from a business controlled from India, is not taxable if it is both accrued and received outside India.

Q2. The following are the income of Mr. Salman for the previous year 2025-26: (i) Profit on sale of machinery in Bangalore but received in Australia 30,000; (ii) Profit from business in Canada, the business being controlled from India (one-third is received in India) 42,000; (iii) Income from house property in Iran 20,000; (iv) Agricultural income in England which was received there but later brought into India 8,000; (v) Past untaxed foreign income brought into India during the previous year 2025-26, 6,000. Compute the total income of Mr. Salman for the Assessment year 2026-27 if he is (a) Resident; (b) Not ordinarily resident or (c) Non Resident.

Particulars	Resident (ROR)	Not Ordinarily Resident (RNOR)	Non-Resident (NR)
(i) Profit on sale of machinery in Bangalore, received in Australia — accrues in India, taxable for all	30,000	30,000	30,000
(ii) Profit from Canada business controlled from India, ₹42,000 (1/3rd = ₹14,000 received in India)	42,000	42,000	14,000
(iii) Income from house property in Iran (other source, accrued & received outside India)	20,000	Nil	Nil
(iv) Agricultural income in England, received there (other source, accrued & received outside India)	8,000	Nil	Nil
(v) Past untaxed foreign income remitted to India in PY 2025-26 (mere remittance, not income of the year)	Nil	Nil	Nil
Total Income	1,00,000	72,000	44,000

- Total Income if Resident (ROR) = ₹1,00,000
- Total Income if Not Ordinarily Resident (RNOR) = ₹72,000
- Total Income if Non-Resident (NR) = ₹44,000